DOLPHIN ENTERTAINMENT, INC.

This note frames the current earnings base for DLPN with emphasis on profitability, capital structure, and cash-flow durability.

Revenue	Net Income
$52M	-$13M
19.9%	-48.3%

Operating Margin	Free Cash Flow
-20.3%	-$159K
-56.5%	-96.6%

At a glance

- Revenue is $52M with 19.9% change versus the prior period.
- Net income is -$13M, indicating current earnings scale.
- Balance sheet reads at 0.44x debt-to-equity and 0.76x current ratio.

Executive Summary

DLPN — Current period: 2024-12-31 | Prior period: 2023-12-31

DLPN posted $52M in revenue (19.9% YoY) and -$13M in net income (-48.3% YoY) for 2024-12-31. Revenue growth coupled with declining net income suggests margin pressure or rising operating costs that bear monitoring in subsequent periods. The profitability profile is defined by operating margin of -20.3% and net margin of -24.4%, framing the earnings quality behind the headline figures.
The balance sheet carries a moderate profile at 0.44x debt-to-equity and 0.76x current ratio, which is serviceable but leaves less margin for error under stress. The quick ratio of 0.76x still shows current-asset coverage after excluding inventory, but it does not offset the current cash burn.

Cash generation is anchored by -$158K in operating cash flow (-96.6% YoY), which converts to -$159K in free cash flow (-96.6% YoY). Capital expenditures of $2K (0.0% of revenue) show the reinvestment burden required to sustain the current operating base.

Current balance-sheet and cash profile: leverage at 0.44x, current ratio 0.76x, free cash flow -$159K.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$52M	$43M	19.9%
Net Income	-$13M	-$24M	-48.3%
Operating Margin	-20.3%	-46.6%	-56.5%
Debt-to-Equity	0.44x	0.26x	71.4%
Current Ratio	0.76x	0.75x	0.3%
Free Cash Flow	-$159K	-$4.6M	-96.6%

Revenue
$52M

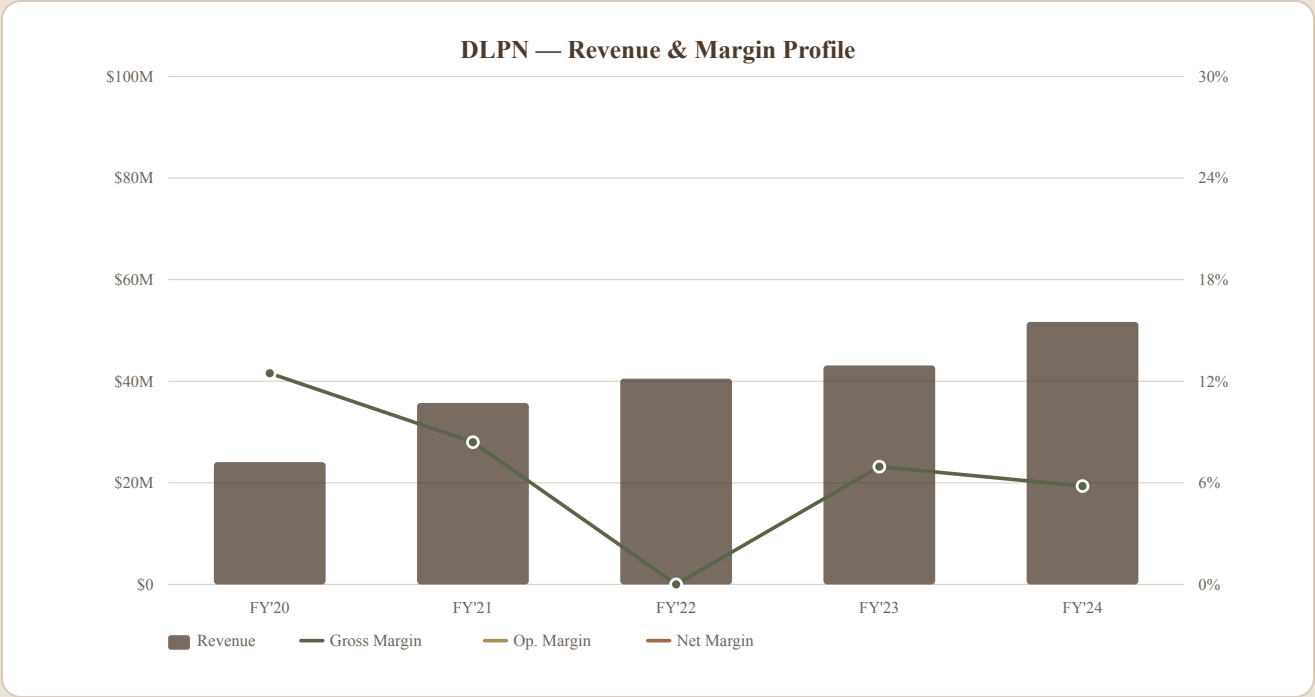
Net Income
-$13M

Operating Margin
-20.3%

Free Cash Flow
-$159K

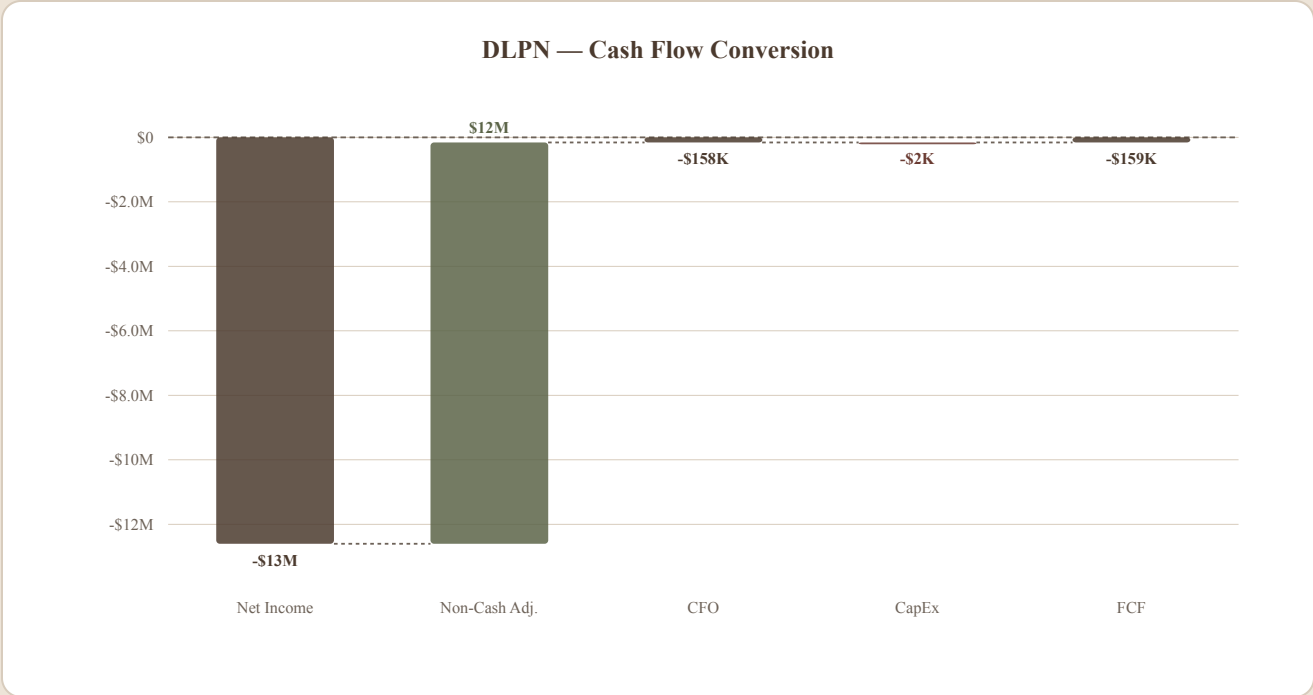
Visual Highlights I

DLPN — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.

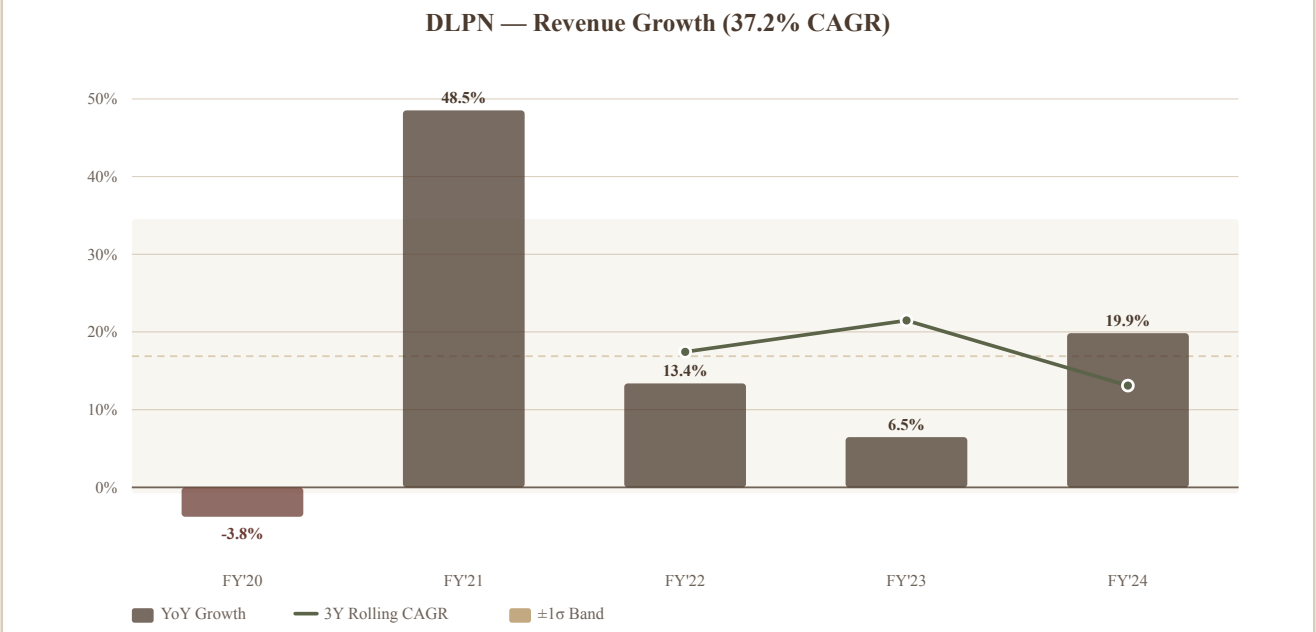


Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II

DLPN — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is -79.8%, indicating current capital productivity.
- Debt-to-equity stands at 0.44x, a direct read on leverage sensitivity.
- Current ratio is 0.76x, framing near-term liquidity coverage.
- Operating cash flow is -$158K.

Key Metrics Dashboard

DLPN — Current period: 2024-12-31 | Prior period: 2023-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	$3.0M	$3.0M	0.0%
Return on Equity	-79.8%	-122.2%	-34.8%
Return on Assets	-20.2%	-36.8%	-45.1%
Gross Margin	5.8%	7.0%	-16.6%
Operating Margin	-20.3%	-46.6%	-56.5%
Net Margin	-24.4%	-56.6%	-56.9%
Earnings Per Share (Diluted)	$-1.22	$-1.69	-27.8%

Liquidity & Leverage

Metric	Current Value	Prior Period	Change (%)
Current Assets	$20M	$21M	-3.2%
Current Liabilities	$27M	$27M	-3.4%
Cash & Equivalents	$8.2M	$6.4M	27.5%
Short-Term Debt	$1.7M	$981K	71.9%
Total Debt	$5.1M	$5.1M	0.0%
Current Ratio	0.76x	0.75x	0.3%
Quick Ratio	0.76x	0.75x	0.3%
Debt-to-Equity	0.44x	0.26x	71.4%

Key Metrics Dashboard (Cont.)

DLPN — Current period: 2024-12-31 | Prior period: 2023-12-31

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$52M	$43M	19.9%
Gross Profit	$3.0M	$3.0M	0.0%
Operating Income	-$10M	-$20M	-47.9%
Net Income	-$13M	-$24M	-48.3%
Total Assets	$58M	$66M	-11.8%
Total Liabilities	$47M	$46M	1.1%
Stockholders' Equity	$12M	$20M	-41.6%
Shares Outstanding	11.2M	18.2M	-38.7%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	-$158K	-$4.6M	-96.6%
Capital Expenditures	-$2K	-$29K	-94.8%
Free Cash Flow	-$159K	-$4.6M	-96.6%
Working Capital	-$6.4M	-$6.7M	-4.2%
Asset Turnover	0.83x	0.65x	27.4%
Book Value Per Share	$1.04	$1.10	-4.8%

Commentary

DLPN — Current period: 2024-12-31 | Prior period: 2023-12-31

What stands out

- Revenue is $52M, with 19.9% growth versus the prior annual filing.
- Net income is -$13M, with -48.3% change year over year.
- Operating margin is -20.3% and net margin is -24.4%, indicating operating losses at both levels.

Watch items

- Current ratio is 0.76x, indicating tight near-term liquidity coverage.
- Monitor leverage and liquidity together: debt-to-equity is 0.44x and current ratio is 0.76x.

Analyst interpretation

- DLPN is not yet profitable, so the key decision point is the trajectory toward breakeven and whether cash runway supports continued operations.
- Balance-sheet posture is best read jointly: debt-to-equity at 0.44x and current ratio at 0.76x.
- Cash burn remains a central monitoring point, with free cash flow at -$159K in the latest annual period.

Next Filing Checklist

- Confirm whether DLPN can sustain revenue at $52M through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is -$159K.
- Reassess leverage and liquidity together (0.44x debt-to-equity, 0.76x current ratio).

Appendix

DLPN — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix A — DLPN Income Statement

Metric	FY2024	FY2023	FY2022
Revenue	$52M	$43M	$41M
Cost of Revenue	$3.3M	$922K	$3.6M
Gross Profit	$3.0M	$3.0M	$3
Operating Expenses	$62M	$63M	$45M
Operating Income	-$10M	-$20M	-$4.6M
Net Income	-$13M	-$24M	-$4.8M
EPS (Basic)	$-1.22	$-1.69	$-0.49
EPS (Diluted)	$-1.22	$-1.69	$-0.56
Weighted Avg Shares (Diluted)	10.3M	14.4M	9.9M
SG&A Expenses	$7.8M	$8.4M	$6.6M
Pretax Income	Not reported	Not reported	-$4.5M
Income Tax Expense	$88K	$54K	$177K

Appendix B — DLPN Balance Sheet (Part 1/2)

Metric	FY2024	FY2023	FY2022
Shares Outstanding	11.2M	18.2M	12.3M
Total Assets	$58M	$66M	$75M
Total Liabilities	$47M	$46M	$41M
Total Stockholders' Equity	$12M	$20M	$34M
Current Assets	$20M	$21M	$24M
Current Liabilities	$27M	$27M	$25M
Cash & Equivalents	$8.2M	$6.4M	$6.1M
Total Debt	$5.1M	$5.1M	$2.9M

Appendix B — DLPN Balance Sheet (Part 2/2)

Metric	FY2024	FY2023	FY2022
Long-Term Debt	Not reported	Not reported	$2.5M
Short-Term Debt	$1.7M	$981K	$409K
Accounts Receivable	$5.1M	$5.8M	$6.2M
Other Current Assets	$373K	$701K	$524K
Accounts Payable	$2.3M	$6.9M	$4.8M
Other Current Liabilities	$11M	$7.7M	$7.6M
Retained Earnings	-$146M	-$134M	-$109M
Goodwill	$22M	$25M	$29M

Appendix (Cont.)

DLPN — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix C — DLPN Cash Flow Statement

Metric	FY2024	FY2023	FY2022
Operating Cash Flow	-$158K	-$4.6M	-$4.0M
Capital Expenditures	-$2K	-$29K	-$72K
Investing Cash Flow	-$2.5M	-$4.5M	-$7.9M
Financing Cash Flow	$4.2M	$9.5M	$11M
Depreciation	$82K	$231K	$283K
Debt Repayment	-$997K	-$3.2M	-$36K
Cash at End of Period (cash-flow statement)	$9.1M	$7.6M	$7.2M

Appendix Notes — DLPN

- Locked annual appendix basis uses FY2024 and FY2023.
- Asset Turnover: Asset turnover uses average assets for the current period and prior ending assets for the prior comparison.
- Book Value Per Share: Book Value Per Share uses period-end shares outstanding.

Appendix Notes — DLPN (Cont.)

- Earnings Per Share (Diluted): Earnings Per Share (Diluted) uses diluted weighted-average shares from the income statement.
- Cash-flow outflows are normalized to negative values so appendix signs match the dashboard and narrative.
- Primary filing anchor: 10-K filed 2025-03-27.

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
DLPN	0001282224	0001079973-25-000490	10-K	2025-03-27	https://www.sec.gov/Archives/edgar/data/1282224/000107997325000490/dlpn_10k.htm
DLPN	0001282224	0001079973-24-000452	10-K	2024-04-01	https://www.sec.gov/Archives/edgar/data/1282224/000107997324000452/0001079973-24-000452-index.htm
DLPN	0001282224	0001553350-23-000246	10-K	2023-03-31	https://www.sec.gov/Archives/edgar/data/1282224/000155335023000246/0001553350-23-000246-index.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-07. Retrieval date: 2026-03-07.

Disclaimer: For research use only; not investment advice.